



GOVERNANCE DOCUMENT

Anti-Fraud, Bribery and Corruption Policy

International Society of Equity Analysts

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This document forms part of the official governance framework of the International Society of Equity Analysts (ISEA) and should be read together with the related documents listed above.

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1. Purpose

The International Society of Equity Analysts ("ISEA") is a global professional association whose credibility, and the credibility of the equity research profession it represents, depends on the highest standards of integrity, independence and ethical conduct.

ISEA maintains a policy of zero tolerance towards fraud, bribery and corruption in all forms, whether committed by, against, or in connection with ISEA, its Governing Council, officers, employees, Members, volunteers, contractors, agents, sponsors, partners or any other person acting for or on behalf of ISEA.

This Anti-Fraud, Bribery & Corruption Policy ("Policy") sets out ISEA's commitment to preventing, detecting and responding to fraud, bribery and corruption, and establishes the standards, controls and procedures by which that commitment is implemented across ISEA's global operations, membership activities, examinations and certifications, publications and research, conferences and events, sponsorships and partnerships, procurement, and other dealings.

This Policy is intended to protect ISEA's Members, staff, volunteers, reputation and assets, to promote a culture of transparency, accountability and ethical decision-making, and to ensure ISEA meets or exceeds the requirements of applicable anti-bribery and anti-corruption laws in every jurisdiction in which it operates or has Members.

As a professional association representing equity analysts worldwide, ISEA holds itself to the same, or a higher, standard of integrity that its Code of Ethics and Standards of Professional Conduct requires of its Members in their own professional practice. ISEA's ability to speak credibly on matters of ethics and professional conduct depends on its own governance and operations being, and being seen to be, free from fraud, bribery and corruption.

This Policy operates alongside, and should be read together with, the Code of Ethics and Standards of Professional Conduct ("Code"), the Ethics Policy, the Conflict of Interest Policy, the Gifts, Benefits and Hospitality Policy, the Whistleblower Policy, the Complaints Policy, the Disciplinary Policy, the Risk Management Policy, and the Document Retention Policy.

2. Scope and Application

This Policy applies, without exception, to:

- members of the Governing Council
- the Secretary-General and all officers and employees of the Executive Secretariat
- members of all ISEA committees, including the Ethics and Professional Standards Committee and the Risk Management Committee
- the Editorial Board, editors, and other persons involved in ISEA publications
- examiners, assessors and other persons involved in ISEA's certification and examination processes
- ISEA Members (Student Members, Associate Members, Members and Fellows) when acting on behalf of, or representing, ISEA
- volunteers, ambassadors and country or chapter representatives acting on behalf of ISEA
- contractors, consultants, agents, distributors, joint venture partners and other third-party intermediaries engaged by or acting for ISEA and
- sponsors, partners, exhibitors and suppliers, to the extent of their dealings with ISEA, (each a "Relevant Person", and collectively "Relevant Persons").

This Policy applies to all ISEA activities worldwide, including membership administration, professional certification and examinations, publications and research, conferences and events, sponsorships and partnerships, procurement of goods and services, employment and human resources matters, and any other activity carried out in ISEA's name or on its behalf.

This Policy applies irrespective of the value involved, the seniority of the individual concerned, or whether the conduct in question would, in the relevant jurisdiction, constitute a criminal offence. Relevant Persons must comply with this Policy in addition to, and not instead of, any applicable local law, and shall apply whichever standard is the more stringent.

No Relevant Person may authorise, direct, request or knowingly permit another person, including a Third-Party Intermediary, to do anything on ISEA's behalf that would breach this Policy. A Relevant Person cannot avoid responsibility under this Policy by structuring an arrangement through a subsidiary, chapter, affiliated entity or intermediary.

This Policy applies regardless of whether ISEA, or the Relevant Person, ultimately obtains any benefit from the conduct in question, and regardless of whether the conduct is successful in achieving its intended purpose.

3. Definitions

For the purposes of this Policy:

- "Anything of Value" means any benefit of a financial or non-financial nature, including cash, gifts, hospitality, benefits, favours, discounts, loans, employment or business opportunities, donations, or any other advantage.
- "Bribery" means offering, promising, giving, authorising, soliciting or accepting Anything of Value, directly or indirectly, with the intention of improperly influencing a decision, obtaining or retaining business, securing an improper advantage, or rewarding improper conduct.
- "Corruption" means the abuse of entrusted power, position or authority for improper personal, financial or other private advantage, and includes Bribery, Kickbacks, extortion, embezzlement, self-dealing, and improper favouritism, cronyism or nepotism.
- "Facilitation Payment" means a small, informal payment made to a Public Official to secure or expedite a routine governmental action to which the payer is already legally entitled.
- "Fraud" means any intentional act of deception, misrepresentation or concealment carried out for personal or financial gain, or to cause loss to ISEA or another person, including the falsification of documents, records, examination results, votes or financial information.
- "Improper Benefit" means any advantage, favour or benefit, whether direct or indirect, financial or non-financial, that is provided or received in circumstances that breach, or create a real or perceived risk of breaching, this Policy, the Code, or the Conflict of Interest Policy. "Kickback" means a payment, benefit or other consideration made or received, typically after the fact, in exchange for having facilitated, influenced or arranged a transaction, contract or business relationship.
- "Nominal Value" means a modest monetary value that is unlikely, in the circumstances, to influence or reasonably be perceived as influencing the judgment or conduct of the recipient. For the purposes of this Policy, Nominal Value means no more than **US\$50 per person** per gift or occasion, or the equivalent amount in local currency. Multiple gifts, benefits or hospitality provided to the same person must be considered cumulatively over a reasonable period and must not be divided or structured to remain below this threshold. A benefit exceeding this amount is not necessarily improper solely because of its value, but must be assessed and, where required, disclosed or pre-approved in accordance with the Gifts, Benefits and Hospitality Policy. No monetary threshold applies where the purpose, circumstances or recipient would otherwise make the benefit improper or prohibited under this Policy or applicable law.
- "Public Official" means any officer, employee, representative or person acting in an official capacity for or on behalf of a government, government department or agency, regulatory or supervisory authority, stock exchange, central bank, state-owned or state-controlled enterprise, public international organisation, or political party or candidate for public office.

- "Third-Party Intermediary" means any agent, consultant, adviser, lobbyist, distributor, representative, joint venture partner or other third party engaged to act, or acting, for or on behalf of ISEA, including in dealings with Public Officials, Members, sponsors or other stakeholders.
- "Business Partner" means any external party with whom ISEA has, or is considering, a business, contractual, sponsorship or other commercial relationship.
- "Red Flag" means a circumstance that indicates an elevated risk of fraud, Bribery or Corruption, examples of which are set out in Section 12.
- "Relevant Person" has the meaning given in Section 2.

4. Statement of Commitment

ISEA does not, and will not, tolerate fraud, Bribery or Corruption in any form, whether committed directly, through a Third-Party Intermediary, or by omission, and regardless of whether the conduct would benefit ISEA.

ISEA is committed to conducting all of its activities honestly, fairly and in compliance with applicable law and this Policy, and to fostering a culture in which Relevant Persons feel able, and are expected, to raise concerns without fear of retaliation.

This commitment applies equally at every level of ISEA, from the Governing Council to Student Members, and is not diminished by seniority, tenure, or the perceived commercial importance of a relationship, sponsor, or Business Partner.

The Governing Council has overall responsibility for ensuring that this Policy complies with ISEA's legal and ethical obligations, and that all Relevant Persons understand and comply with it. Day-to-day responsibility for implementation, monitoring and reporting is delegated to the Secretary-General, the Risk Management Committee and the Ethics and Professional Standards Committee, as set out in Section 22.

5. Legal and Regulatory Framework

ISEA operates internationally and its Members, officers, volunteers and Business Partners are located in numerous jurisdictions. This Policy is designed to meet or exceed the standards required by applicable anti-bribery and anti-corruption laws, including, without limitation, the UK Bribery Act 2010, the United States Foreign Corrupt Practices Act of 1977, the OECD Convention on Combating Bribery of Foreign Public Officials in International Business Transactions, the United Nations Convention against Corruption, and applicable local anti-corruption, anti-fraud and public procurement laws.

Where the requirements of applicable local law are more stringent than this Policy, Relevant Persons must comply with the more stringent standard. Where local custom or practice appears to permit conduct that would otherwise breach this Policy, this Policy shall prevail.

Many of the laws referred to in this Section apply extraterritorially, meaning that conduct occurring outside a Relevant Person's home jurisdiction, or outside the jurisdiction in which ISEA is established, may nonetheless give rise to liability. Relevant Persons should not assume that a law does not apply merely because the conduct in question takes place, or the counterparty is located, outside their home country.

Breach of applicable anti-bribery or anti-corruption law may expose the individuals involved, and potentially ISEA itself, to criminal prosecution, civil liability, regulatory sanction and reputational harm. Relevant Persons who are uncertain about the application of local law should seek guidance from the Secretary-General or the Ethics and Professional Standards Committee before acting.

Without limiting the generality of this Section, ISEA has particular regard to the following international instruments and legal frameworks in designing and maintaining this Policy:

- the UK Bribery Act 2010, which prohibits bribery of any person (public or private), being bribed, bribery of a foreign Public Official, and failure of a commercial organisation to prevent bribery by persons associated with it
- the United States Foreign Corrupt Practices Act of 1977, which prohibits corrupt payments to foreign Public Officials to obtain or retain business, and imposes accounting and internal controls requirements
- the OECD Convention on Combating Bribery of Foreign Public Officials in International Business Transactions, which requires signatory states to criminalise bribery of foreign Public Officials
- the United Nations Convention against Corruption, which addresses prevention, criminalisation, international cooperation, and asset recovery in relation to corruption and
- applicable local anti-corruption, anti-fraud, procurement, lobbying, and political donation laws in each jurisdiction in which ISEA operates, maintains a chapter, or has Members.

6. Bribery

No Relevant Person may offer, promise, give, authorise, solicit or accept a bribe, in any form and by any means, whether directly or through a Third-Party Intermediary.

6.1 What Constitutes Bribery

Bribery may take many forms and is not limited to cash payments. It includes, without limitation, offering or accepting gifts, hospitality, donations, employment or business opportunities, loans, discounts, or any other Anything of Value, where this is done with the intention of improperly influencing a decision or action, or as a reward for having done so.

Bribery can occur even where the improper advantage is not ultimately obtained, where the benefit is offered or given to a third party (such as a family member or associate of the intended recipient) rather than directly to that person, and irrespective of whether the person offering or accepting the benefit occupies a senior or junior position.

It is not necessary for there to be an explicit request or agreement for Bribery to occur. An offer, promise or payment made with an improper intention, or accepted in circumstances where the recipient understands that it is intended to influence their conduct, is sufficient, even if the arrangement is never expressly discussed in those terms.

6.2 Bribery Involving Public Officials

Particular caution must be exercised in any dealings with Public Officials, including in connection with regulatory approvals, licensing, visas, customs clearance, tax matters, or engagement with securities regulators, stock exchanges or central banks. No Anything of Value may be offered, promised or given to a Public Official, or to any person at the request or with the acquiescence of a Public Official, with the intention of influencing that official in the performance of their duties or of securing any improper advantage for ISEA.

Legitimate and proportionate hospitality, or modest gifts of Nominal Value, extended to a Public Official in the ordinary and transparent course of ISEA's professional or governmental relations may be permissible in accordance with the Gifts, Benefits and Hospitality Policy, but must be disclosed and, where required, pre-approved in accordance with Section 7 of that policy and Section 21 of this Policy.

ISEA recognises that, in some jurisdictions, ISEA's chapters or representatives may need to interact with securities regulators or government bodies in connection with recognition of ISEA's certifications or professional designations. Any such interaction must be conducted transparently, through appropriate channels, and must never involve the offer or provision of an improper benefit to secure recognition, endorsement or favourable treatment.

6.3 Bribery in Commercial (Private-to-Private) Contexts

This Policy applies equally to Bribery in dealings between private parties, including sponsors, partners, research providers, service providers, vendors, and other Business Partners. No Relevant Person may offer, give, solicit or accept Anything of Value in order to secure improper advantage in a commercial relationship, including in connection with membership admission, examinations, certification, editorial or research decisions, sponsorship arrangements, or procurement.

6.4 Attempted Bribery and Collusion

An attempt to bribe, whether or not successful, and whether or not the intended recipient in fact receives the benefit, is treated in the same way as completed Bribery under this Policy. Collusion between two or more persons to bring about Bribery or Corruption, including any agreement, understanding or scheme to circumvent this Policy, is likewise prohibited and will be treated with equal seriousness.

7. Facilitation Payments

ISEA prohibits the making of Facilitation Payments of any kind, in any jurisdiction, regardless of local custom or practice, and regardless of value.

This prohibition applies even where a Facilitation Payment is common practice locally, is requested or expected by a Public Official, or is described as a "fee", "tip", "donation", "processing charge" or similar.

Common examples of Facilitation Payments that are prohibited under this Policy include small payments to expedite the issuance of a visa, work permit or business licence, to secure the release of goods held at customs, to obtain a routine inspection or certificate, or to expedite the registration of an ISEA chapter, event or publication with a local authority.

Where a Relevant Person is confronted with a demand for a Facilitation Payment, they should, where it is safe to do so, decline to make the payment, request a formal receipt or written justification for any legitimate fee, ask for the demand to be made through official channels, and report the demand promptly to the Secretary-General or the Ethics and Professional Standards Committee in accordance with Section 19.

Where a Relevant Person's personal safety or liberty is genuinely threatened, they may take such action as is reasonably necessary to protect themselves,

and must report the incident to the Secretary-General as soon as reasonably practicable thereafter.

8. Improper Gifts and Hospitality

Gifts and hospitality can be a normal and appropriate part of professional relationships, but can also be used to disguise Bribery or Corruption. Detailed standards governing the offering, giving, soliciting and acceptance of gifts, benefits and hospitality by Relevant Persons are set out in ISEA's Gifts, Benefits and Hospitality Policy, which forms part of ISEA's overall anti-bribery and anti-corruption framework and should be read together with this Policy.

For the purposes of this Policy, a gift, benefit or hospitality is improper where it is:

- offered, given, solicited or accepted with the intention, or the reasonably perceived intention, of improperly influencing a decision or obtaining an improper advantage
- cash or a cash equivalent, which is prohibited in all circumstances
- lavish, excessive or disproportionate to the occasion or relationship
- offered, given, solicited or accepted secretly, or otherwise than through open and transparent channels or
- provided on a frequent or repeated basis such that it creates, or could reasonably be perceived to create, a sense of obligation.

Any gift, benefit or hospitality that meets the description above is prohibited under this Policy irrespective of whether it also complies, in form, with the monetary thresholds set out in the Gifts,

Benefits and Hospitality Policy. Compliance with a monetary threshold does not, of itself, render a gift, benefit or hospitality proper if it is offered, given, solicited or accepted for an improper purpose.

9. Kickbacks and Secret Commissions

No Relevant Person may request, agree to accept, offer or pay a Kickback or secret commission in connection with any ISEA contract, sponsorship, procurement, publication, membership or other arrangement.

This prohibition extends to arrangements under which a Relevant Person receives, directly or indirectly, a personal payment, benefit or other consideration in exchange for awarding, renewing, extending or otherwise favouring a contract, sponsorship, vendor relationship or other arrangement involving ISEA, or for referring business, membership applicants, sponsors, authors or speakers to a particular counterparty.

Any commission, referral fee, finder's fee or similar payment made or received in connection with ISEA business must be properly documented, commercially justified, disclosed in accordance with Section 16, and, where required, approved in advance in accordance with ISEA's applicable financial approval procedures.

A Relevant Person who becomes aware that a Kickback arrangement may exist, whether involving themselves or another person, must report the matter promptly in accordance with Section 19, and must not participate further in the arrangement pending the outcome of any review.

10. Corruption More Generally

In addition to Bribery and Kickbacks, this Policy prohibits other forms of Corruption, including:

- extortion, meaning the demanding or coercive solicitation of Anything of Value in exchange for the performance, or non-performance, of a duty
- embezzlement or misappropriation of ISEA's funds, property or other assets for personal or improper purposes
- self-dealing, meaning the use of one's position within ISEA to obtain a personal benefit at ISEA's expense or in a manner inconsistent with one's duties
- improper favouritism, cronyism or nepotism in decisions concerning membership, certification, examinations, employment, procurement, editorial content, sponsorship, or committee or Governing Council appointments and
- the falsification or manipulation of records, data, votes, examination results, financial statements or other information in order to conceal fraud, Bribery or Corruption or to secure an improper advantage.

Relevant Persons must exercise their duties towards ISEA honestly, in good faith, and in ISEA's best interests, and must not use their position, information or ISEA resources for personal gain.

Corruption under this Policy is not limited to conduct involving money or tangible benefits. Abuse of position for the purpose of securing preferential treatment for oneself, a family member, or an associate, in relation to any ISEA process, including membership admission, examination results, disciplinary outcomes, or appointment to a committee, Governing Council seat or editorial role, is prohibited.

11. Improper Benefits

In addition to gifts, hospitality and cash payments, Improper Benefits may take indirect or non-obvious forms. Relevant Persons must be alert to, and must not offer, give, solicit or accept, Improper Benefits including, without limitation:

- offers of employment, internships or business opportunities to a person, or a family member or associate of a person, in a position to influence a decision affecting ISEA or a Business Partner

- sham consultancy, advisory or sponsorship arrangements that lack genuine commercial substance and are used to channel value to, or from, a person in a position of influence
- the funding of travel, education, training or other personal expenses that are not reasonably and transparently connected to legitimate ISEA business
- preferential access to ISEA services, certifications, publications or events that is not available on equivalent terms to similarly situated persons and
- any other advantage, however described, that is provided or received in circumstances giving rise to an actual, potential or perceived conflict between personal interest and duty to ISEA.

Any arrangement described in this Section must be disclosed and assessed in accordance with the Conflict of Interest Policy and, where applicable, pre-approved by the Ethics and Professional Standards Committee.

12. Third-Party Intermediaries

ISEA recognises that the use of Third-Party Intermediaries, including agents, consultants, lobbyists, distributors and joint venture partners, can present a heightened risk of Bribery and Corruption, as such parties may act, or be perceived to act, on ISEA's behalf while outside ISEA's direct control.

12.1 Due Diligence

Before engaging a Third-Party Intermediary to act for or on behalf of ISEA, in particular in connection with dealings with Public Officials, sponsorship solicitation, procurement, or representation of ISEA in a new jurisdiction, the Executive Secretariat must conduct risk-based due diligence proportionate to the nature of the engagement, having regard to factors including:

- the reputation, ownership, and business background of the proposed intermediary
- any connection between the intermediary and a Public Official or a person able to influence a decision affecting ISEA
- the jurisdiction(s) in which the intermediary operates, and the corruption risk associated with those jurisdictions
- the commercial rationale for the engagement and for the level of proposed remuneration and
- any Red Flags identified during the due diligence process, as described in this Section.

12.2 Red Flags

Red Flags requiring enhanced scrutiny, escalation to the Ethics and Professional Standards Committee, and, where appropriate, additional approval before proceeding, include:

- a request for payment in cash, to a third country, to a personal or numbered account, or otherwise inconsistent with normal business practice
- a request for commission or fees that are disproportionate to the services genuinely to be provided
- an intermediary who is unwilling to provide standard due diligence information, or who insists on confidentiality inconsistent with legitimate business practice
- an intermediary who is, or is closely connected to, a Public Official or a family member of a Public Official relevant to the engagement
- an intermediary who has a history of, or reputation for, unethical business practices and
- an intermediary who requests that an agreement be back-dated, or that payment be made before, or without, the required due diligence being completed.

12.3 Contractual Protections and Oversight

Written agreements with Third-Party Intermediaries acting for or on behalf of ISEA must include appropriate anti-bribery and anti-corruption representations, warranties, audit rights and termination provisions, must specify the services to be provided and the basis for remuneration, and must require the intermediary to comply with this Policy and applicable law. Payments to Third-Party Intermediaries must

be made only in accordance with the applicable written agreement, must be properly documented, and must not be made in cash, to a third country unconnected with the engagement, or to an account other than that of the contracting party, without appropriate approval.

12.4 Ongoing Monitoring

Engagements with Third-Party Intermediaries must be subject to periodic review, having regard to the intermediary's continued performance, any change in ownership or control, any adverse media or regulatory information that comes to light, and any Red Flags arising during the course of the engagement. Due diligence should be refreshed at intervals proportionate to the risk of the engagement, and in any event before a material renewal or extension of the arrangement.

13. Procurement

ISEA is committed to conducting procurement of goods and services on a fair, transparent and competitive basis, and to ensuring that procurement decisions are made solely on the basis of quality, value and suitability.

13.1 Fair and Competitive Process

Except where a sole-source or emergency procurement is properly justified and documented, procurement above thresholds set by the Governing Council must be conducted through a competitive process involving at least the minimum number of bidders specified in ISEA's applicable financial procedures, with clear and consistently applied evaluation criteria.

13.2 Conflicts of Interest in Procurement

A Relevant Person involved in a procurement decision must disclose any personal, family or financial connection with a bidder or vendor in accordance with the Conflict of Interest Policy, and must recuse themselves from any decision in which such a connection exists. No Relevant Person may accept a gift, benefit or hospitality from a current or prospective vendor in a manner inconsistent with the Gifts, Benefits and Hospitality Policy.

13.3 Segregation of Duties and Approval

Procurement processes must maintain appropriate segregation of duties between the individual(s) who identify a need, those who evaluate and select a vendor, and those who approve payment, and must be subject to approval thresholds set out in ISEA's financial policies and procedures.

13.4 Record-Keeping and Documentation

All procurement decisions, including the basis for vendor selection, the rationale for any sole-source or emergency procurement, and any conflicts of interest identified and managed, must be documented and retained in accordance with the Document Retention Policy, and must be made available for review by the Risk Management Committee or internal or external auditors upon request.

14. Political, Charitable and Corporate Donations

14.1 Political Donations

ISEA is a professional association and does not make donations or contributions, whether in cash or in kind, to political parties, candidates for public office, or political campaigns, in any jurisdiction. No Relevant Person may make, or offer to make, a political donation on ISEA's behalf, using ISEA funds, resources or name, without the prior written approval of the Governing Council, and only where such a donation would be lawful, properly disclosed, and demonstrably unconnected to the pursuit of any improper advantage.

This Section does not restrict a Relevant Person's personal political activities or contributions made in a purely personal capacity, using personal funds, and without reference to, or apparent endorsement by, ISEA. A Relevant Person engaging in personal political activity must ensure that it is clear, at all times, that they are acting in a personal capacity and not on behalf of ISEA.

ISEA does not engage, and will not permit any Relevant Person to engage on its behalf, in lobbying activity that is not conducted transparently, through legitimate and disclosed channels, and in accordance with applicable lobbying registration and disclosure laws.

14.2 Charitable Donations and Sponsorships

ISEA may make or receive charitable donations and sponsorships where these serve a legitimate philanthropic, educational or professional development purpose, are made transparently, are properly documented, and are not used as a means to disguise or facilitate Bribery or Corruption.

Any proposed charitable donation or sponsorship arrangement, whether made or received by ISEA, above a threshold determined by the Governing Council, or involving a charity, foundation or organisation connected to a Public Official, sponsor, Business Partner or Relevant Person, must be disclosed to, and approved by, the Secretary-General or the Ethics and Professional Standards Committee before it is made, offered or accepted.

Sponsorship arrangements connected with ISEA conferences, publications or other activities must otherwise comply with the Gifts, Benefits and Hospitality Policy and, where applicable, the Publications and Editorial Policy, and must never be structured in a manner that provides a sponsor with improper influence over ISEA's membership, certification, editorial, research, disciplinary or governance decisions.

15. Application to Specific ISEA Activities

The principles set out in this Policy apply across all of ISEA's activities. This Section highlights particular areas of ISEA's operations where fraud, Bribery and Corruption risk requires specific attention.

15.1 Membership Admission and Certification

Decisions regarding membership admission, professional certification, examination results and continuing professional development compliance must be made solely on the basis of the applicable criteria set out in the Member Admission Framework, the Membership Policy, the Membership Regulations and the CPD Policy, and must never be influenced by a gift, payment, benefit or other improper consideration offered by, or on behalf of, an applicant or Member.

15.2 Publications and Research

Editorial and peer review decisions concerning ISEA's publications, including the International Journal of Equity Analysts, Global Market Outlook Reports, White Papers and Occasional Research Papers, must be made independently and on editorial merit, and must never be influenced by sponsorship, advertising revenue, or any benefit offered by an author, sponsor or other interested party, in accordance with the Publications and Editorial Policy.

15.3 Conferences, Events and Sponsorship

Decisions regarding conference sponsorship, exhibitor arrangements, speaking opportunities and event partnerships must be based on transparent commercial terms and legitimate selection criteria, and must not be used to reward, or be influenced by, gifts, hospitality or other benefits offered outside those transparent arrangements.

15.4 Employment and Human Resources

Recruitment, promotion, remuneration and disciplinary decisions concerning officers and employees of the Executive Secretariat must be made on merit and in accordance with ISEA's applicable human resources policies, and must never be influenced by an improper payment, benefit, or personal or family connection inconsistent with the Conflict of Interest Policy.

16. Books, Records and Internal Controls

ISEA shall maintain accurate, complete and transparent books, records and accounts that reflect, in reasonable detail, all transactions and dispositions of ISEA's assets. No Relevant Person may establish or maintain any undisclosed or unrecorded fund or asset, make any false, misleading or artificial entry in

ISEA's books and records, or approve or make any payment with the intention or knowledge that any part of it will be used for a purpose other than that described in the documentation supporting the payment.

ISEA shall maintain internal financial controls, including appropriate approval thresholds, segregation of duties, and periodic reconciliation and audit, designed to prevent and detect fraud, Bribery and Corruption. These controls are described further in the Risk Management Policy and in ISEA's financial policies and procedures.

Records created or received in connection with this Policy, including due diligence files, approvals, disclosures, registers, and investigation records, must be retained for the period specified in the Document Retention Policy, and in any event for a period sufficient to satisfy applicable legal, regulatory and audit requirements.

17. Risk Assessment and Due Diligence

The Risk Management Committee, in coordination with the Secretary-General, shall periodically assess ISEA's exposure to fraud, Bribery and Corruption risk, having regard to factors such as the jurisdictions in which ISEA operates, the nature of ISEA's dealings with Public Officials, the extent of ISEA's use of Third-Party Intermediaries, and the value and nature of ISEA's sponsorship, procurement and donation activity.

The risk assessment shall have regard to the differing risk profiles of ISEA's various activities and chapters, recognising that risk may vary according to jurisdiction, the nature of local regulatory engagement, and the extent of reliance on local representatives or intermediaries.

The results of this risk assessment shall inform the due diligence, approval and monitoring procedures applied under this Policy, and shall be reported to the Governing Council together with any recommended enhancements to this Policy or ISEA's internal controls.

18. Training and Awareness

ISEA shall provide training on this Policy to Governing Council members, officers and employees of the Executive Secretariat, committee members, and other Relevant Persons whose role presents a material fraud, Bribery or Corruption risk, at induction and at appropriate intervals thereafter.

Training shall be proportionate to role and risk, and shall cover the requirements of this Policy, how to recognise Red Flags, the standards applicable to gifts, hospitality and Third-Party Intermediaries, and how to raise concerns in accordance with Section 19. Enhanced training shall be provided to Relevant Persons whose responsibilities involve procurement, engagement of Third-Party Intermediaries, or regular interaction with Public Officials.

Completion of required training shall be recorded by the Executive Secretariat, and the Secretary-General shall report periodically to the Governing Council on training completion rates and any identified gaps in awareness.

19. Reporting Suspected Misconduct

ISEA encourages, and expects, Relevant Persons to speak up promptly if they know of, suspect, or are asked to participate in, conduct that may breach this Policy.

19.1 How to Report

Concerns may be raised with a Relevant Person's supervisor (where applicable), the Secretary-General, the Ethics and Professional Standards Committee, or through any confidential or anonymous reporting channel established under the Whistleblower Policy, including any independently operated reporting hotline or online reporting facility made available by ISEA. Concerns regarding a specific individual's conduct may also be raised under the Complaints Policy, where that policy is more appropriate to the nature of the concern.

Reports should be made in good faith and, so far as reasonably possible, should include sufficient detail to enable the matter to be assessed, including the persons involved, the nature of the suspected misconduct,

and any supporting information or documentation. A person is not required to be certain that a breach has occurred, or to have proof, before raising a concern a genuine and reasonable suspicion is sufficient.

19.2 Non-Retaliation

ISEA prohibits retaliation of any kind against a person who, in good faith, reports suspected fraud, Bribery or Corruption, or who participates in an investigation under this Policy, even where the concern is not ultimately substantiated. Retaliation is itself a serious breach of this Policy and will be addressed in accordance with the Disciplinary Policy. Protections and procedures applicable to reports made under this Section are set out more fully in the Whistleblower Policy.

19.3 False Reports

This Policy does not protect a person who knowingly makes a false report, or who makes a report maliciously or for an improper purpose. Such conduct may itself result in disciplinary action. This Section does not apply to a report that is made in good faith but subsequently found to be mistaken or unsubstantiated.

20. Investigations

Reports and concerns raised under this Policy shall be assessed promptly by the Secretary-General or the Ethics and Professional Standards Committee, and, where warranted, shall be investigated in accordance with the Whistleblower Policy, the Complaints Policy and the Disciplinary Policy, as applicable.

Investigations shall be conducted independently, fairly, and with due regard to confidentiality, and shall provide the person(s) whose conduct is under investigation with a reasonable opportunity to respond before any adverse finding is made, save where doing so would prejudice the investigation or is otherwise inappropriate in the circumstances.

Where necessary to protect the integrity of an investigation, the Secretary-General may take interim measures, including suspending a Relevant Person's involvement in a particular decision, transaction or committee, pending the outcome of the investigation. Any such interim measure shall not, of itself, constitute a finding of wrongdoing.

Where an investigation identifies a suspected breach of applicable law, the Secretary-General shall, in consultation with the Governing Council, consider ISEA's obligations to report the matter to the relevant law enforcement, regulatory or professional body.

21. Consequences of Breach

A breach of this Policy is a serious matter and will be addressed in accordance with the Disciplinary Policy. Depending on the nature and seriousness of the breach, consequences may include:

- guidance, counselling or a formal warning
- mandatory additional training
- suspension or termination of membership, certification, designation, employment, engagement, or committee or Governing Council position, as applicable
- termination of a sponsorship, contractual or other business relationship
- recovery of any Improper Benefit obtained, and, where applicable, of any loss caused to ISEA and
- referral to law enforcement, regulatory or professional bodies, where warranted.

A Relevant Person who is uncertain whether proposed conduct would breach this Policy must seek guidance from the Secretary-General or the Ethics and Professional Standards Committee before acting, and may not proceed on the basis that a breach was inadvertent once guidance was available and not sought.

22. Roles and Responsibilities

Effective prevention of fraud, Bribery and Corruption depends on clearly defined responsibilities at every level of ISEA. This Section sets out the principal responsibilities of each body and role referred to in this Policy.

22.1 Governing Council

- approving this Policy and any material amendments to it
- satisfying itself that ISEA maintains effective, risk-based procedures to prevent fraud, Bribery and Corruption
- approving political donations, and material charitable donations or sponsorships, where required under Section 14
- receiving and considering reports from the Risk Management Committee, the Ethics and Professional Standards Committee, and the Secretary-General under this Policy and
- ensuring adequate resources are made available for training, monitoring and investigation under this Policy.

22.2 Secretary-General and Executive Secretariat

- day-to-day implementation of this Policy, including administering due diligence, approval and reporting procedures
- maintaining registers and records required under this Policy
- delivering training and communications to Relevant Persons
- assessing and escalating reports of suspected misconduct in accordance with Section 19 and
- reporting periodically to the Governing Council on the operation of this Policy.

22.3 Risk Management Committee

- overseeing ISEA's fraud, Bribery and Corruption risk assessment under Section 17
- reviewing the adequacy of ISEA's internal controls, including procurement, financial and Third-Party Intermediary controls and
- recommending enhancements to this Policy and to ISEA's controls and procedures to the Governing Council.

22.4 Ethics and Professional Standards Committee

- reviewing reports and disclosures made under this Policy
- providing guidance to Relevant Persons on the interpretation and application of this Policy
- overseeing investigations conducted under Section 20, in coordination with the Secretary-General and
- recommending amendments to this Policy to the Governing Council under Section 26.

22.5 All Relevant Persons

- understanding and complying with this Policy and seeking guidance where uncertain
- exercising sound judgement and acting with integrity in all dealings on ISEA's behalf
- completing required training within the timeframe specified and
- reporting suspected misconduct promptly in accordance with Section 19.

23. Monitoring, Audit and Assurance

Compliance with this Policy shall be subject to periodic monitoring and internal or external audit, as determined by the Governing Council and the Risk Management Committee, including periodic review of gifts, hospitality and donation registers, procurement records, and Third-Party Intermediary due diligence files.

The results of such monitoring and audit shall be reported to the Governing Council, together with any recommended remedial action, and a summary of key findings shall, where appropriate, be communicated to Relevant Persons to reinforce awareness of this Policy.

24. Confidentiality and Data Protection

Information disclosed, reported or gathered under this Policy shall be handled with appropriate confidentiality, shared only with those who have a legitimate need to know in connection with the administration, investigation or oversight of this Policy, and processed in accordance with ISEA's Privacy Policy and applicable data protection law.

25. Illustrative Scenarios

The following scenarios are provided for guidance only, to help Relevant Persons recognise how this Policy applies in practice. They are not exhaustive, and any similar situation should be assessed by reference to the principles set out in this Policy.

Scenario 1 - Conference Sponsorship

A prospective conference sponsor offers to increase its sponsorship contribution on condition that its chief executive is given a guaranteed keynote speaking slot and editorial input into the conference program. This would breach Section 8 and Section 15.3, as it links a commercial payment to influence over ISEA's programming, and must be declined or restructured through a transparent, arm's-length sponsorship process.

Scenario 2 - Facilitation Payment Request

A local official responsible for approving an ISEA conference venue permit informally requests a small "processing fee" paid directly to him in order to expedite approval. This is a Facilitation Payment prohibited under Section 7, and must be declined the Relevant Person should request that any legitimate fee be paid through official channels and should report the request in accordance with Section 19.

Scenario 3 - Membership Admission

An applicant for Fellow membership, whose application does not meet the eligibility criteria under the Member Admission Framework, offers a substantial donation to ISEA in connection with their application. This is an attempt at Bribery under Section 6 and must be declined the donation offer, and the application, should be reported and assessed independently of one another.

Scenario 4 - Research Provider Hospitality

A research provider whose product is the subject of an ISEA White Paper offers the lead author an all-expenses-paid holiday timed to coincide with the White Paper's publication. This constitutes improper hospitality and a potential Improper Benefit under Sections 8 and 11, and must be declined and disclosed in accordance with the Gifts, Benefits and Hospitality Policy and the Publications and Editorial Policy.

Scenario 5 - Procurement Kickback

An officer of the Executive Secretariat responsible for selecting a conference venue receives a personal cash payment from the venue's events manager after the contract is signed. This is a Kickback prohibited under Section 9 and a serious breach warranting investigation, recovery of the payment, and referral for disciplinary action under Section 21.

Scenario 6 - Engaging a Local Agent

ISEA wishes to engage a local representative to assist with chapter registration in a new jurisdiction. The proposed representative requests that fees be paid in cash to an account in a third country, and is reluctant to provide information about his business background. These are Red Flags under Section 12.2 requiring enhanced due diligence and escalation to the Ethics and Professional Standards Committee before any engagement proceeds.

Scenario 7 - Charitable Donation as Cover

A Business Partner proposes that, instead of paying an agreed sponsorship fee directly to ISEA, it make an equivalent donation to a charity closely associated with a Governing Council member's family. This arrangement raises a substantial risk of disguised Corruption under Sections 10 and 14.2, and must be disclosed to, and independently assessed by, the Ethics and Professional Standards Committee before any donation is made or accepted.

Scenario 8 - Pressure to Waive Due Diligence

A committee member under time pressure to finalise a conference venue contract asks the Executive Secretariat to skip standard due diligence on a newly introduced events agent so that a discounted rate, available only that week, can be secured. Time pressure is not a valid reason to bypass the due diligence requirements of Section 12.1, and the Secretary-General should be consulted on how to proceed without compromising this Policy.

26. Review and Continuous Improvement

The Risk Management Committee and the Ethics and Professional Standards Committee shall periodically review this Policy to ensure it remains effective and appropriate, having regard to:

- developments in anti-bribery, anti-corruption and related law and regulation in jurisdictions relevant to ISEA
- the outcome of risk assessments, audits, investigations and reports made under this Policy
- emerging international good practice in anti-fraud and anti-corruption compliance and
- feedback from Relevant Persons, Members and other stakeholders.

Recommended amendments shall be submitted to the Governing Council for approval.

27. Effective Date

This Policy takes effect on the date approved by the Governing Council.

Appendix A: Red Flag Quick Reference

The following is a non-exhaustive quick-reference summary of Red Flags discussed in this Policy. Any of these circumstances should prompt enhanced scrutiny and, where appropriate, escalation to the Secretary-General or the Ethics and Professional Standards Committee before proceeding.

- a request for payment in cash, to a third country, or to a personal or numbered account
- a request for a Facilitation Payment, however described, to expedite a routine government action
- a gift, benefit or hospitality offered or requested around the time of a significant decision (membership admission, certification, procurement award, sponsorship renewal)
- a counterparty who is unwilling to provide standard due diligence information, or who insists on unusual confidentiality
- a counterparty connected to a Public Official, or to a Relevant Person's family member or associate
- commission or fees disproportionate to the services genuinely provided
- pressure to bypass standard approval, due diligence or procurement processes because of time constraints or a limited-time offer
- a sponsorship, donation or consultancy arrangement that lacks genuine commercial substance and
- reluctance to put an arrangement in writing, or a request to backdate documentation.

Appendix B: Acknowledgement

Relevant Persons designated by the Secretary-General as being required to do so shall be asked to confirm, at induction and at periodic intervals thereafter, that they have read, understood, and agree to comply with this Policy, and that they have disclosed any matter required to be disclosed under this

Policy. A specimen form of acknowledgement is maintained by the Executive Secretariat and is not reproduced in this Policy.